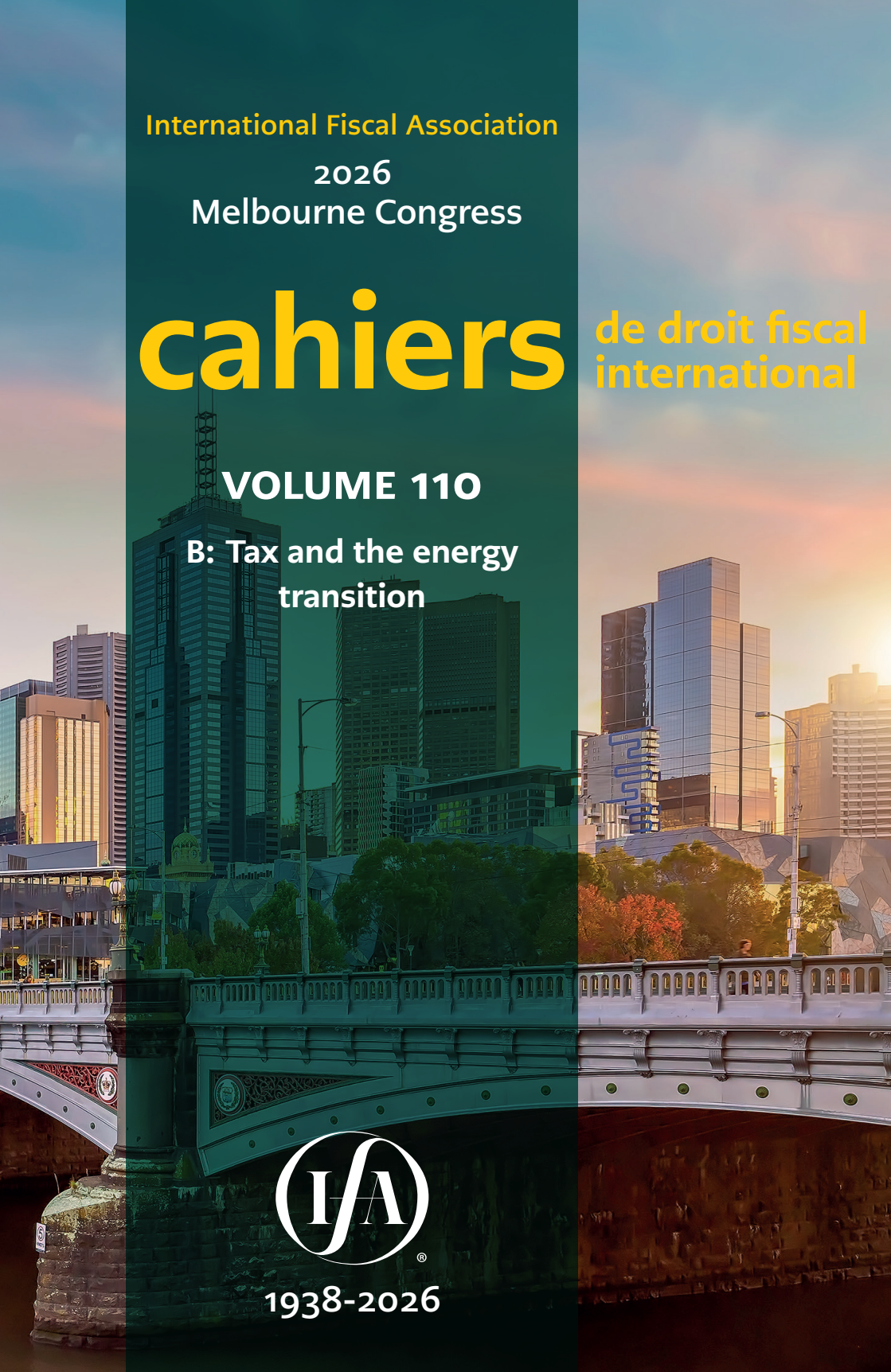
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B: Tax and the energy transition



1938-2026

Branch reporter
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Summary and conclusions

Switzerland's environmental and energy taxation regime reflects a commitment to align climate objectives with fiscal neutrality. Within a decentralised fiscal structure encompassing 27 separate statutes (one federal and one for each of the 26 cantons), all businesses, including those in the energy sector, are subject to the same corporate tax regime. The federal corporate income tax rate is 8.5%, with the effective tax rate, including subnational corporate income taxes, ranging from about 12% to 21%.

Switzerland's international tax framework aligns with OECD standards, emphasising neutrality and broad-based application. The government provides financial support for energy-efficiency investments and innovative technologies. However, it does not offer special tax regimes or exemptions for energy producers or for domestic and foreign investments in renewable energy infrastructure. Instead, deductions for renewable or environment-related investments are generally treated as standard business expenses under general tax rules, with cantonal exceptions.

Fossil fuel taxation plays a dual role in Switzerland's climate policy, serving both as a tool for emissions reduction and a source of revenue for national and subnational governments. At the core of Switzerland's climate policy lies the CO_2 Act, which promotes emissions reductions through carbon pricing, regulation, and subsidies. This framework was reinforced by the Climate and Innovation Act, which entered into force in 2025 and established national and sectoral climate targets, including a net-zero emissions target by 2050.

At the centre of Switzerland's fossil fuel taxation is the CO_2 levy. Since its introduction in 2008, the CO_2 levy has been raised incrementally to 120 Swiss francs (CHF) (about USD 150 as of 2025) per tonne of CO_2 – the statutory maximum – and applies uniformly to households and businesses based on consumption of thermal fossil fuels, such as heating oil and natural gas. Businesses that either participate in the national ETS or commit to binding emission

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[2] This report benefited from the contribution "*Mit Steuern nachhaltig steuern: Steuerrecht und Nachhaltigkeit in der Schweiz*" by Martin Baur and Marc Elsener, which was published in Sieber-Gasser, Bürgi Bonanomi, and Koch (2025). The author gratefully acknowledges the support of Martin Baur (Federal Finance Administration), Roger Ramer (Federal Office for the Environment), and Alowin Moes (Federal Tax Administration) for their valuable comments and insights that contributed to the development of this report. The theses defended in this report do not necessarily reflect the views of the Federal Finance Administration, the Federal Department of Finance or the Federal Council. Swiss tax and energy transition policies are complex and constantly evolving. The author does not claim completeness or exhaustiveness regarding the information provided in this report.

reduction targets are exempt from the CO_2 levy. The Swiss ETS, operational since 2013 and linked to the EU-ETS since 2020, targets large emitters in industry and aviation.

Two-thirds of the revenues generated from the CO_2 levy are redistributed back to the public and businesses in the form of health insurance rebates and payroll-based compensation. The remainder supports the federal and cantonal buildings programme and a technology fund, which promotes clean, innovative technologies. The emphasis of the CO_2 levy remains environmental, not fiscal: its primary function is to incentivise the transition to low-carbon heating alternatives and to improve energy efficiency, as demonstrated by the substantial reduction in CO_2 emissions from thermal fuels over the past two decades.

Motor fuel taxation is governed by the mineral oil tax, an excise duty enshrined in the Swiss Constitution. It applies to petrol and diesel, and serves primarily as a source of fiscal revenue. Revenues are earmarked for road transport and public infrastructure. As the electrification of the transport sector progresses, the Federal Council is developing a concept for a replacement levy on electric vehicles to offset declining mineral oil tax revenues and ensure sustainable infrastructure funding without distorting mobility costs. Additional transport-related taxes include the performance-based heavy vehicle fee, compensation obligation for fuel importers, and cantonal motor vehicle taxes.

In summary, Switzerland's environmental and energy taxation framework aligns climate goals with fiscal neutrality. Energy companies are taxed under the same corporate tax framework as other businesses, with no special privileges or carve-outs. Environmental taxes are levied on consumption rather than profits, ensuring equitable contribution across all sectors. This system enables Switzerland to progress toward its climate objectives while upholding principles of fairness, transparency, efficiency and fiscal responsibility in public finance.

Despite progress in reducing CO_2 emissions by a quarter between 1990-2023, significant uncertainty remains over whether future climate targets will be achieved. Meeting these targets will require further revisions to the CO_2 Act. However, Switzerland's long-term climate strategy beyond 2030 remains subject to political debate over whether future measures should emphasise subsidies and regulatory approaches or prioritise market-based instruments, such as carbon pricing.

Introduction

Swiss tax law is shaped by a decentralised structure, comprising 27 distinct statutes (one at the federal level and one for each of the 26 cantons). This fiscal diversity reflects Switzerland's long-standing federalist tradition. The system further extends to approximately 2,100 municipalities, which exercise substantial fiscal autonomy as delegated by their respective cantons.

The Federal Constitution of the Swiss Confederation (hereafter Constitution) provides the foundation for Switzerland's federalist fiscal system. Article 3 of the Constitution establishes the basic relationship between the federal government and the cantons. Under this provision, the cantons – and, within the scope of cantonal law, the municipalities – are generally free to design and administer their own tax systems. This autonomy is subject to compliance with constitutional principles. The federal government may levy taxes only where it is expressly, and typically exclusively, authorised to do so by the Constitution (e.g. articles 126-135). These include indirect taxes such as value-added tax, special excise taxes

on goods including mineral oils and their derivatives, motor vehicles, and withholding taxes, and customs duties on cross-border trade in goods. In addition, the Confederation is granted the authority to impose a direct federal tax on the income of natural persons and the net income of legal entities. This tax is levied in parallel with cantonal income taxes, illustrating the shared fiscal responsibilities between government levels.

Public authorities may levy taxes only if they are authorised to do so by the Constitution or by law. Any changes to these tax provisions must be submitted to the electorate. Constitutional amendments require a mandatory referendum and must be approved not only by a majority of voters but also by most of the cantons. Legislative amendments are likewise subject to popular vote if a referendum is requested.[3]

I. Direct taxation

The federal budget is governed by the debt brake, a fiscal rule designed to ensure medium-term budget balance while allowing for countercyclical fiscal policy. This rule enforces fiscal discipline, while enabling the government to respond flexibly to economic fluctuations.[4] At the federal level, Switzerland recorded a near-balanced budget in 2024, with federal revenues accounting for almost CHF 85 billion (about 10% of GDP).[5] In 2023, the general government revenue, which includes the Confederation, cantons, municipalities, and social security funds, was approximately CHF 252 billion, accounting for about 30% of Switzerland's GDP.[6] Direct taxation is a major source of government revenue, including direct federal taxes on individuals' income and legal entities' profits, as well as cantonal and municipal taxes. These include income and wealth taxes on individuals, corporate income taxes, and various other levies needed to finance subnational governments.

I.A. Domestic rules for direct income taxation of energy production including renewables and fossil fuels

Corporate income taxes

All companies are subject to a federal corporate income tax of 8.5% on net profit.[7] Cantonal and municipal corporate income taxes vary significantly across Switzerland, with effective rates ranging from 12% to 21%.[8] There is no special tax regime for energy companies. However, at the cantonal level, certain tax incentives (deductions) are available for investments in renewable energy (see section II.C), which may reduce the effective tax

3 Sieber-Gasser, Bürgi Bonanomi, and Koch (2025): *Mit Steuern nachhaltig steuern: Steuerrecht und Nachhaltigkeit in der Schweiz* from Martin Baur and Marc Elsener.

4 Federal Finance Administration (FFA): Debt brake, accessed 25 June 2025.

5 FFA: Report on federal financial statement 2024, 25 March 2025.

6 FFA, Financial Statistics: Data, detailed data FS, general government, regular tables, accessed 30 October 2025. Data after 2023 were not available at the time of writing.

7 Art. 68 of the Federal Act on Direct Federal Taxation (*DBG*) of 14 December 1990 (as of 01 January 2025), SR 642.11

8 PwC: Switzerland – Taxes on corporate income, accessed 20 May 2025.

burden of companies. Moreover, non-profit oriented legal entities may be exempt from income and capital taxes.[9]

In Switzerland, energy companies generally use the same legal entity structures as other businesses, but their choice may be influenced by sector-specific considerations, such as regulatory requirements, public ownership, financing needs, or cooperative models for community-based energy projects.

Box 1: Legal entity structures in Switzerland[10]

- Public limited companies (*Aktiengesellschaft, AG*):[11] The AG structure is used by most large energy firms (e.g. utilities, grid operators and large-scale renewable producers). This structure facilitates capital raising and accommodates complex ownership, including cantonal and municipal stakeholders, and is recognised internationally. Examples include the Axpo Holding AG and the Alpiq Holding AG.[12]
- Limited liability companies (*Gesellschaft mit beschränkter Haftung, GmbH*):[13] Suitable for small to medium-sized energy developers (e.g., solar or biogas operators). They offer more flexible governance than public limited companies and have fewer disclosure requirements.
- Cooperative (*Genossenschaft*):[14] These are common in community-based renewable energy projects, where local stakeholders co-own and co-manage production. Examples include regional electricity cooperatives and solar energy groups, such as Energie Genossenschaft Schweiz or Genossenschaft Elektra Baselland.
- Public law institutions (*Anstalt des öffentlichen Rechts*): Some energy utilities, especially grid operators and hydroelectricity producers, are owned and operated by the Confederation, cantons or municipalities as public law entities. Examples include Elektrizitätswerke des Kantons Zürich, Energie Wasser Bern or Services Industriels de Genève.[15]

9 This is the case, for instance, in the canton of Zurich, as mandated by art. 61g of the cantonal tax law, 631.1. A list of institutions in the canton of Zurich that are exempt from tax because they pursue public or charitable purposes, including more than a dozen energy-related companies, can be found here: Verzeichnis steuerbefreite Institutionen, accessed 26 June 2025.

10 In Switzerland special purpose vehicle entities are typically set up as an *Aktiengesellschaft (AG)* or *Gesellschaft mit beschränkter Haftung (GmbH)*.

11 Arts. 620-763 of the Swiss code of obligations (*OR*) of 30 March 1911 (as of 01 January 2021), 220.

12 Axpo Holding AG is a major Swiss energy company, key to the country's electricity supply and a leader in renewable energy and trading across Europe. Alpiq Holding AG is a leading Swiss energy provider focused on power generation.

13 Arts. 772-827 *OR*.

14 Arts. 828-926 *OR*.

15 Unlike private companies under the *OR*, public institutions are not centralised in a single law but are regulated by public law. Regulations depend heavily on the institution's purpose, sponsor (e.g. federal government, canton or municipality) and specific legal framework. For example, the Elektrizitätswerke of the canton of Zurich are regulated in cantonal law, LS 732.1, the Energie Wasser of the city of Berne is regulated in municipal law, SSSB Nr. 741.1, and the Services Industriels of the canton of Geneva are regulated in cantonal law, L 2 35.

OECD minimum tax rate

On 18 June 2023, Swiss voters approved a constitutional amendment (78.5% approval) to implement the OECD minimum tax rate (Pillar Two), requiring large multinational enterprises (annual revenues of at least EUR 750 million) to pay at least 15% tax on profits. In Switzerland, this affects only a few hundred domestic and a few thousand foreign corporate groups. A transitional provision empowers the Federal Council to issue an ordinance – effective until replaced by a federal law to be submitted to Parliament within six years – guiding implementation.[16,17]

If the minimum tax rate is not reached, the shortfall will be levied by means of a supplementary tax at the federal level. Effective 1 January 2024, the national supplementary tax (qualified domestic minimum top-up tax, QDMTT) ensures the minimum taxation of affected corporate groups or business units in Switzerland. Moreover, the international supplementary tax under the income inclusion rule (IIR) also ensures the minimum taxation of all foreign business units of a corporate group at the ultimate parent entity (or an intermediate holding company) if the business units in question are not subject to minimum taxation in other jurisdictions. There are currently no plans to introduce the undertaxed profit rule (UTPR).

Switzerland has not enacted any energy-specific carve-outs aimed at preserving tax incentives under the OECD minimum tax rate.

I.B. Specific resource taxes or taxes on renewable energy production

Switzerland's energy mix

In 2024, Switzerland's energy consumption was about 776 terajoules (TJ), including primarily petroleum and electricity, followed by gas, wood, and other energy from renewables. Switzerland's total energy supply, including inland production, imports and exports, amounts to 1,030 TJ, primarily from imported petroleum products, crude oil and gas, nuclear power plants and hydropower plants. Almost one-third of the total energy supply is produced domestically.

[16] Federal Department of Finance: Implementation of the OECD minimum tax rate in Switzerland, 04 September 2024.

[17] A federal act is a law passed by Parliament that sets out the legal framework, while an ordinance is a subordinate regulation issued by the Federal Council or administration to implement and detail the provisions of the act.

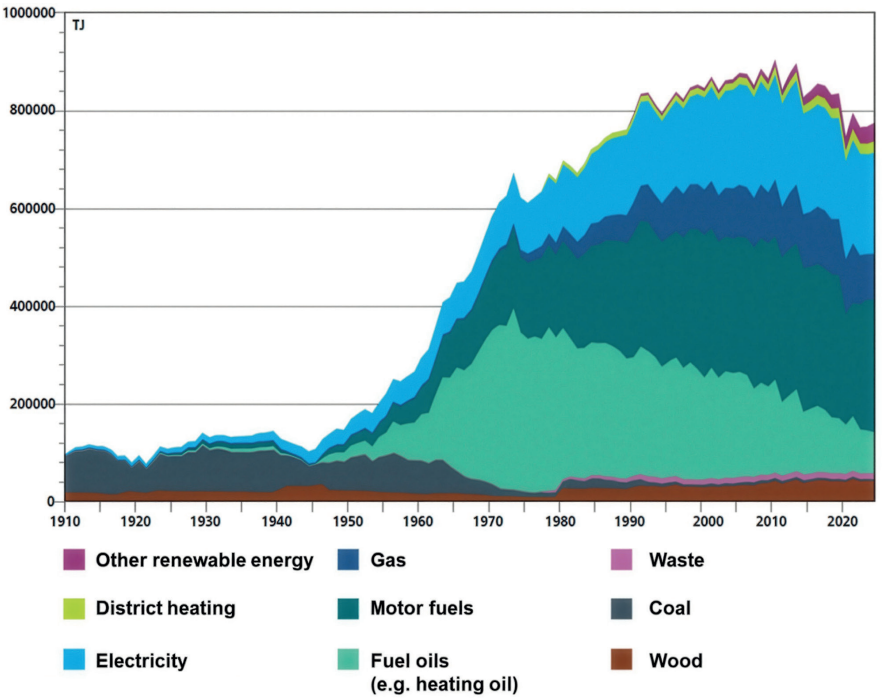
Table 1: *Switzerland's energy balance for 2024 (in TJ)*

	Wood	Coal	Waste	Crude oil	Petroleum products	Gas	Hydro	Nuclear	Other renewable energy	Electricity	District heating	Total
Inland production	48'680		55'440	0			174'010		56'320			334'630
+ Imports	2'400	2'510	4'740	112'000	265'470	100'480		250'720	8'750	93'440		860'510
+ Exports	-80	-10		0	-16'290					-145'270		-161'650
+ Change in stock[1]		60		780	-4'350							-3'510
= Total energy supply	**51'180**	**2'560**	**60'180**	**112'780**	**264'830**	**100'480**	**174'010**	**250'720**	**65'070**	**-51'830**	**0**	**1'029'980**
+ Transformation sector:												
• Hydro plants							-174'010			174'010		0
• Nuclear plants								-250'720		82'740	1'370	-166'610
• Conventional thermal electricity, CHP and heat plants	-4'970	0	-48'240		-390	-6'570				9'110	25'440	-25'620
• Gas fired power plants						0						0
• Refinery				-112'780	112'780							0
• Renewables	-4'290					1'700			-26'680	25'930		-3'340
+ Own use, distribution losses, used for storage					-5'490	-130				-32'920	-2'730	-41'270
+ Non energy use					-16'920							-16'920
= Total final consumption	**41'920**	**2'560**	**11'940**	**0**	**354'810**	**95'480**	**0**	**0**	**38'390**	**207'040**	**24'080**	**776'220**

Source: Swiss Federal Office of Energy: Energy consumption in Switzerland 2024, 18 January 2025
Notes: [1] (+) decrease in stock, (-) increase in stock

Electricity production comprised mainly hydropower (60%), nuclear (28%), and renewable and conventional thermal (12%). While Switzerland exports more electricity than it imports in summer, it relies on imports from France, Germany, and Austria during the winter months.

Figure 1: *Final energy consumption in Switzerland, 1910-2024*



Source: Swiss Federal Office of Energy: Overall energy statistics, accessed 24 July 2025

Switzerland tends to rely on regulation and policy mechanisms (rather than taxation) to manage energy production, including market access regulation, energy strategy oversight under the Energy Strategy 2050 (particularly relevant for nuclear phase-out and renewable incentives), and feed-in tariff schemes (e.g. grid surcharges).[18]

According to the Energy Perspectives 2050+ of the Federal Office of Energy, total energy consumption in Switzerland is expected to decline due to efficiency gains during the energy transition. However, electricity demand will rise and continue to be met primarily by hydropower and other renewable sources, especially photovoltaics.[19] The expansion of

[18] Swiss Federal Office of Energy (SFOE): Energy Strategy 2050, accessed 28 May 2025. The Energy Strategy 2050 is a strategic policy package to advance Switzerland's energy transition towards a low-carbon economy. It comprises a coordinated set of newly introduced and revised laws, ordinances, and policy measures, rolled out in successive phases. The Energy Strategy 2050 is built on four pillars, including phasing out nuclear energy, reducing per capita energy consumption and greenhouse gas emissions, promoting renewable energy sources and improving energy efficiency, and enhancing energy security.

[19] Federal Office of Energy (2022).

electricity production from renewable sources is now legally mandated by the new Federal Act on a Secure Electricity Supply from Renewable Energies, which was approved by popular vote on 9 June 2024 (68.7% approval).[20]

Switzerland does not have significant domestic production of oil, natural gas, or coal, and therefore imposes no specific resource taxes.

Water usage levy

The right to produce hydropower through the exclusive use of public bodies of water is granted in the form of a licence (water usage levy). This means that licence holders are required to pay an annual fee to the issuer of the licence (canton or municipality). The cantons specify the amount of the levy within the limits set in article 76 of the Constitution.[21]

Parliament increased the official maximum levy several times since the introduction of the Federal Act on the Use of Hydropower in 1916. In 2015, it was increased to CHF 110 per kilowatt of gross output until the end of 2030. The Federal Council is required to submit a proposal to Parliament for the period after 2031.

Electricity prices

The Electricity Supply Act tightly regulates Switzerland's electricity market.[22] The Federal Electricity Commission ElCom is Switzerland's independent regulatory authority in the electricity sector. Households must purchase electricity from their local distribution system. In 2025, the (ex-ante fixed) average electricity price for households is 29 Swiss centimes per kilowatt-hour (kWh) (about 31 cents per kWh as of June 2025). The electricity price slightly decreased from 32 Swiss centimes per kWh in 2024 but is still significantly higher than before Russia's invasion of Ukraine (20 Swiss centimes per kWh in 2021).[23] The price includes several charges, such as energy cost, network grid usage fees, duties for the promotion of renewables, taxes and levies to the state, and a winter reserve tax.[24]

The expansion of renewable energy sources, the promotion of electricity efficiency, and the ecological refurbishment of hydroelectric power plants are supported in Switzerland through a range of targeted measures. A key financing instrument for these initiatives is the grid surcharge, a levy that Swiss electricity consumers have been paying as part of their electricity bills since 2009. The proceeds from this surcharge are allocated to the grid surcharge fund (article 35 of the Energy Act, *EnG*).[25] Since 2018, the grid surcharge is 2.3 Swiss centimes per kWh, generating about CHF 1.3 billion annually.[26] From 2026, a new tariff will

20 The Federal Act on a Secure Electricity Supply from Renewable Energies (AS 2024 679) supplements and amends the existing Electricity Supply Act (*StromVG*, SR 734.7) and the Energy Act (*EnG*, SR 730.0).

21 Federal Act on the Use of Hydropower (*WRG*) of 22 December 1916 (as of 01 January 2023), SR 721.80 or SFOE: Water usage levy, accessed 28 July 2025.

22 Electricity Supply Act *(StromVG)* of 23 March 2007 (as of 01 January 2025), SR 734.7.

23 ElCom: Report on the activities of Elcom 2024, p.16, 30 May 2025, and Leicht sinkende Strompreise 2021, 03 September 2020

24 Since 2024, electricity consumers must pay the costs for the federal government's power reserves. The federal government has taken numerous measures to ensure the security of supply. These include the hydropower reserve, the reserve power plants and the emergency power groups. Swissgrid – Tariffs, accessed 05 June 2025.

25 Energy Act *(EnG)* of 30 September 2016 (as of 01 January 2025), SR 730.0.

26 ElCom: Sinkende Strompreise 2025, 05 September 2024.

be added to cover the costs of grid enhancements ("surcharge for solidarised costs via the transmission system"). This new tariff amounts to 5 Swiss centimes per kWh.[27]

Users who consume more than 100,000 kWh per year, such as large industrial groups, can buy their electricity freely on the market, paying significantly less. According to a study, large companies in Switzerland paid on average 16 cents per kWh in 2024. This is still significantly more than in most European countries.[28]

In 2022 and 2023, a significant divergence emerged between Switzerland and many European countries in terms of electricity taxation. While most European governments responded to the energy crisis by reducing taxes or offering subsidies to ease the burden of surging energy prices, Switzerland did not adopt similar relief measures. According to the International Energy Agency (IEA), electricity taxes in Switzerland were substantially higher than the IEA average, which stood at 10% for households and 2% for industry. In contrast to the proactive fiscal adjustments made elsewhere in Europe, Switzerland maintained its existing tax policies without notable intervention (IEA, 2023).

Natural gas prices

Switzerland's share of natural gas accounts for approximately 12% of its total energy consumption in 2024, which is relatively low by international standards (e.g., 20.4% in the EU).[29] Natural gas is subject to various environmental taxes depending on how it is used, such as for heating buildings or in transportation, including the CO_2 levy and the mineral oil tax, which are described in detail in section II. In September 2024, the average price of natural gas was 16 Swiss centimes per kWh for households and 14 Swiss centimes per kWh for businesses.[30]

II. Indirect taxation

Between 1990 and 2024, revenue from environmental taxes in Switzerland increased in nominal terms from about CHF 4 to 10 billion, but they remained relatively stable at around 1.3 per cent of GDP. However, the share of environmental taxes as a percentage of total tax revenue and social security contributions declined from 4.3 per cent in 1990 to around 3.8 per cent in 2024. The most important sources of environmental tax revenue in Switzerland include the mineral oil tax, accounting for CHF 4.4 billion in 2024 (energy taxes on mobility in figure 2),[31] the heavy vehicle charge, CHF 1.8 billion (traffic taxes),[32] and the CO_2 levy, CHF 1.1 billion (stationary energy taxes).[33]

27 Swissgrid's tariffs for 2026 are lower, 17 March 2025. The tariff also includes the temporary state aid for the steel and aluminium industry, as approved by the Swiss Parliament.

28 Avenir Suisse: Emotional Discussion About Industrial Electricity: How Expensive Is Switzerland?, 02 December 2024; Eurostat: Electricity price statistics, accessed 05 June 2025.

29 SFOE: Overall energy statistics, Schätzung des Energieverbrauchs der Schweiz im Jahr 2024; Eurostat: Energy statistics, accessed 05 June 2025.

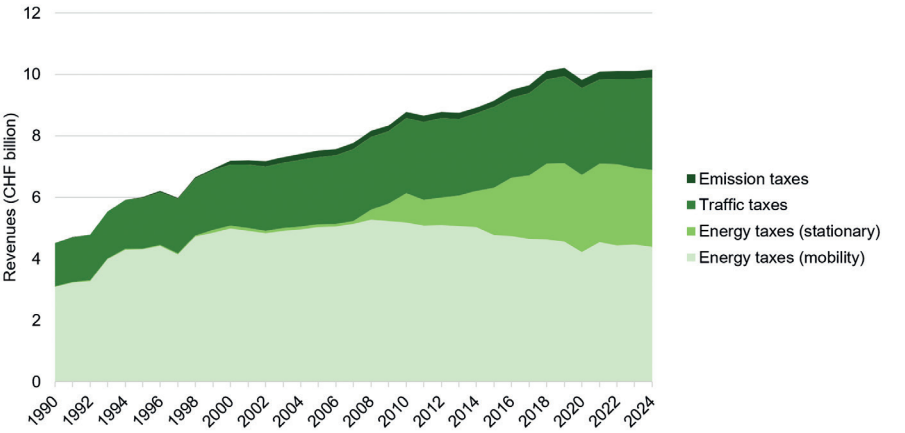
30 Eurostat: EU household gas prices rise in the second half of 2024, accessed 05 June 2025.

31 FFA: 2024 receipts, accessed 13 May 2025.

32 FOT: Heavy goods vehicle charge, accessed 21 May 2025.

33 Federal Department of Finance: State financial statements 2024 (p.93), 24 March 2025.

Figure 2: *Revenue from environmental taxes by category (in billion CHF, current prices)*



Source: Federal Statistical Office: Einnahmen aus umweltbezogenen Steuern, accessed 20 May 2025

The OECD estimates that the cross-sector average CO_2 price in Switzerland from the CO_2 levy and the national ETS was about EUR 50 per tonne of CO_2 in 2023 (explicit carbon price). When the mineral oil tax is included (fuel excise), the average effective carbon price increases to roughly EUR 150 per tonne.[34]

II.A. Carbon taxes, environmental and energy taxes

Switzerland's tax system is regulated by constitutional and legislative frameworks, which also shape the implementation of environmental taxes. The Constitution grants the Confederation powers to levy consumption-based environmental taxes (articles 131 and 134), while cantons retain control over other taxes (e.g. motor vehicle taxes). Any tax or surcharge must satisfy the principle of proportionality and legal certainty.

The CO_2 Act is Switzerland's primary legal instrument for reducing greenhouse gas emissions, setting the legal framework for national climate policy.[35] The CO_2 Act outlines emission reduction targets, carbon pricing instruments, incentives and regulations, and participation in international carbon markets. The CO_2 Act is revised periodically, typically in line with new international agreements or to strengthen domestic climate targets. Revisions are proposed by the Federal Council, debated in Parliament, and may be subject to referendum under Switzerland's direct democracy system. The CO_2 Ordinance provides the detailed regulatory framework that implements the provisions of the CO_2 Act.[36]

34 OECD (2023).

35 CO_2 Act of 23 December 2011 (as of 01 January 2025), SR 641.71.

36 CO_2 Ordinance of 30 November 2012 (as of 01 May 2025), 641.711.

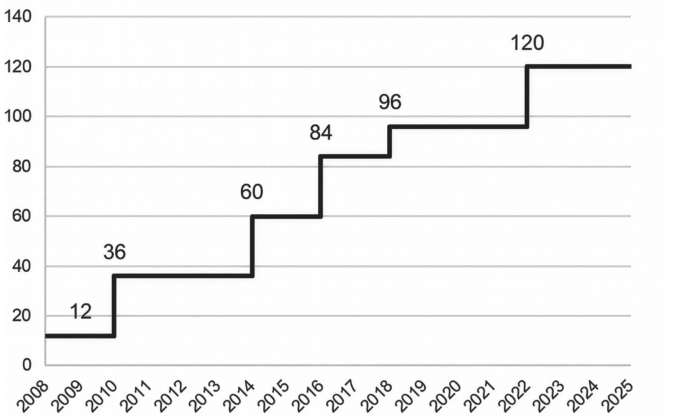
II.A.i. Carbon tax or emissions trading scheme

CO_2 levy

Switzerland's carbon tax, the CO_2 levy, was introduced in 2008. The CO_2 levy is regulated in the CO_2 Act (articles 29 and 30). As an incentive tax, its primary purpose is not fiscal revenue generation, but to reduce fossil fuel consumption. The levy liability applies broadly to all private households and businesses, covering thermal fuels such as heating oil, natural gas, and coal, which account for approximately 30% of Switzerland's total emissions.[37] Industries that participate in Switzerland's emissions trading system (ETS) or commit to legally binding CO_2 reduction targets can be exempted from the CO_2 levy (article 31).

If the targets of Switzerland's emission reduction path from thermal fuels were not met, the CO_2 levy was increased. Since its introduction, the levy has been raised in five steps to the legal maximum of CHF 120 by 2022, making it one of the highest carbon taxes in the world. A proposed increase of the legal maximum of the CO_2 levy to CHF 210 was rejected in a popular vote, following a referendum against the revision of the CO_2 Act in 2021.

Figure 3: *Swiss CO_2 levy (CHF per tonne of CO_2)*



Source: Author's computation based on official sources from the FOEN

The Federal Office for the Environment (FOEN) levies the CO_2 levy in cooperation with the Federal Office for Customs and Border Security (FOCBS). In 2024, revenues from the levy amounted to CHF 1.1 billion. Two-thirds of the proceeds are redistributed to households and companies via lump-sum health insurance rebates and payroll-based refunds (article 36).[38] This design helps offset the regressive impact of the levy on lower-income households. About one-third (max. CHF 450 million) also supports energy efficiency programs (article

[37] FOEN: CO2-Statistik: Emissionen aus Brenn- und Treibstoffen, accessed 30 November 2025.

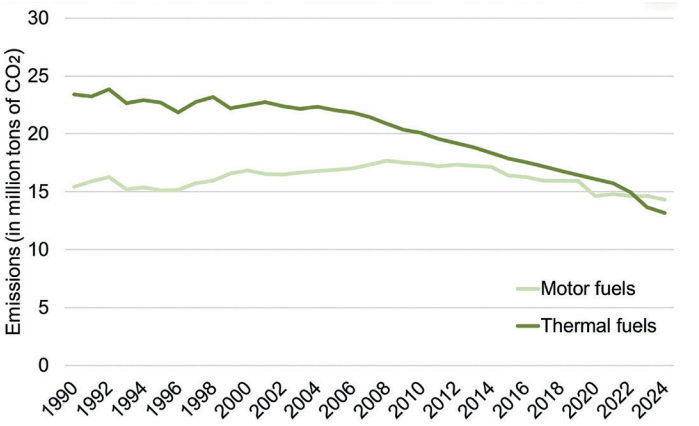
[38] The employers' share is paid to them via the AHV compensation offices. This is distributed based on the total wages for which the employer has paid unemployment insurance contributions, in accordance with art. 3 of the Unemployment Insurance Act *(AVIG)* of 25 June 1982 (as of 01 May .2025), 837.0.

34), such as the federal and cantonal buildings programme, and the technology fund (CHF 25 million), which promotes climate-friendly innovations (article 35).

The federal and cantonal buildings programme subsidises the energy-efficient renovation of buildings and investments in renewable energies.[39] The measure is further complemented by the cantonal energy codes for buildings (*MuKEn*), which, in accordance with article 89 of the Constitution, assign special responsibility to the cantons for measures relating to energy consumption in buildings.[40]

Figure 4 shows emissions trends from heating fuels and from motor fuels. Although motor fuels are not subject to the CO_2 levy, they are subject to the mineral oil tax, emissions standards and a compensation obligation for fuel importers, as discussed below. Between 1990 and 2024, CO_2 emissions from fossil heating fuels declined by almost 45% (from 23.4 to 13.1 million tonnes), while emissions from motor fuels (excluding aviation) remained largely unchanged. This stagnation occurred despite the use of more fuel-efficient vehicle engines and the temporary effects of the pandemic. The decline in heating fuel emissions could also be attributed to the federal and cantonal buildings programme or building energy codes. However, a study commissioned by the Federal Office for the Environment indicates that the CO_2 levy had a greater impact on reducing emissions in the buildings sector than other policy instruments.[41]

Figure 4: *CO_2 emissions from thermal and motor fuels between 1990-2024*



Source: Federal Office for the Environment: CO2 statistics: Emissions from thermal and motor fuels, accessed 14 July 2025

Notes: In accordance with the UN Framework Convention on Climate Change, emissions from international aviation and navigation are not included in motor fuels.

39 FOEN: The federal and cantonal buildings programme, accessed 20 May 2025.

40 Federal Constitution of the Swiss Confederation of 18 April 1999 (as of 3 March 2024), SR 101; SFOE: Cantons and municipalities, accessed 12 August 2025.

41 Ecoplan (2017).

Emissions trading system

Switzerland operates a national ETS, launched in 2013 and legally grounded in the CO_2 Act (article 16). The Swiss ETS is a cap-and-trade system administered by the Federal Office for the Environment, which applies to large industrial emitters and aviation operators. Since 2020, the Swiss ETS has been linked to the EU-ETS. The agreement between Switzerland and the EU regulates the mutual recognition of emission allowances, each with its own legal basis.[42]

The Swiss ETS generates limited revenue, as most emissions allowances are allocated for free, typically ranging between CHF 20 and 50 million, depending on the volume auctioned and the price.[43] Revenues from aviation allowances are earmarked for cross-border long-distance rail, particularly night trains, and the development of renewable synthetic aviation fuels (article 37a), while revenues from industry allowances are used for decarbonisation and climate adaptation initiatives (article 37b).

According to estimates by the OECD, the Swiss ETS holds the greatest potential for emission reductions, particularly if it follows the trajectory of the EU-ETS by gradually phasing out free allowances and tightening the overall emissions cap. The impacts are not limited to emissions from the industrial and aviation sectors; they also extend to electricity generation, buildings, and transport, due to cross-sector price effects and changes in energy demand.[44]

Carbon Border Adjustment Mechanism

The Federal Council examined the potential impacts of the EU Carbon Border Adjustment Mechanism (CBAM) on Switzerland and assessed possible courses of action. On 16 June 2023, the Federal Council recommended to refrain from introducing such a mechanism in Switzerland at this time.[45] Instead, it aimed to maintain alignment with the EU-ETS to remain exempt from the EU-CBAM, as countries that either participate in the EU-ETS or operate a national ETS linked to it, are excluded from the EU-CBAM. Nonetheless, a parliamentary initiative has proposed establishing a legal basis for a Swiss CBAM.[46]

II.A.ii. Other environmental taxes or subsidies, including on energy

Mineral oil tax

Switzerland imposes a fuel tax, officially known as the mineral oil tax, on motor fossil fuels, such as petrol and diesel. The legal basis for this excise tax is found in the Constitution

[42] Agreement between the Swiss Confederation and the European Union on the linking of their ETS systems concluded in Berne on 23 November 2017 (as of 04 December 2024), SR 0.814.011.268.

[43] FOEN: Swiss Emission Trading Registry, accessed 27 May 2025.

[44] Château et al. (forthcoming).

[45] Federal Department of Economic Affairs, Education and Research: Bundesrat will den CO2-Emissionshandel ohne Grenzabgaben weiterentwickeln, 16 June 2023.

[46] Swiss Parliament: Grundlagen für ein CO_2-Grenzausgleichssystem schaffen, parliamentary initiative 21.432, 18 March 2021.

(article 131), the Federal Mineral Oil Tax Act (*Mineralölsteuergesetz, MinöStG*),[47] and corresponding ordinances, which define taxable products, rates, exemptions, and uses of revenue. Although the mineral oil tax primarily serves fiscal purposes, it also has strong steering effects.

The mineral oil tax comprises a uniform base tax applied to crude oil, other mineral oils, natural gas and their processed products, as well as an additional surcharge on motor fuels. Tax liability is incurred at the level of traders, which then pass the tax on to consumers by way of the product price. The tax is imposed per unit of volume or weight, typically 1,000 litres at 15°C (appendix 1, *MinöStG*),[48] and is not based directly on the energy content.

As of 2025, the tax amounts to 76.82 Swiss centimes per litre of unleaded petrol, 79.57 Swiss centimes for diesel oil and 0.3 Swiss centimes for extra light heating oil. Tax reductions are provided for motor fuels used in agriculture, forestry, professional fishing, and licensed transport companies (article 18).[49] Biofuels, such as bioethanol and biodiesel, are exempt from tax.[50] International aviation with departure or destination airports in Switzerland is exempt as well from the mineral oil tax on aviation fuel.[51,52]

The mineral oil tax is levied by the Federal Office for Customs and Border Security. In 2024, revenues from the tax, including surcharge, accounted for 5.2% of federal revenues (CHF 4.4 billion). Half of the revenues from the baseline mineral oil tax (about CHF 2.6 billion) are earmarked for tasks related to road transport and aviation. 10% are allocated to the national roads and agglomeration transport fund (*NAF*), while 40% flow into the general federal budget. Revenues from the surcharge (about CHF 1.7 billion) are fully earmarked for tasks associated with road transport and aviation.[53]

According to the IEA, in the first quarter of 2023, Switzerland's automotive diesel prices were the third highest in the IEA. The average price of diesel was USD 2.21 per litre and a tax rate of 46%. Switzerland's unleaded gasoline price was the ninth highest among IEA member countries, at USD 2.71 per litre and a tax rate of 50%.[54]

Replacement levy for electric vehicles

With the growing adoption of electric vehicles (EVs) and other alternative drive systems, revenues from the mineral oil tax are expected to decline, posing challenges for financing public infrastructure. In response, the Federal Council has proposed introducing a substitute tax (replacement levy) on vehicles with alternative propulsion technologies.

In 2022, a study was conducted to examine the possibility of introducing a distance-based tax for EVs to offset revenue shortfalls from the mineral oil tax without distorting the price of mobility. The tariff model developed assumes a tax that considers the type of vehicle (e.g. passenger car, truck), the weight of the vehicle and the engine power. For a passenger car with average weight and power, the rate of the distance-based tax would

47 Mineral Oil Tax Act *(MinöStG)* of 2 June 1996 (as of 01 January 2025), SR 641.61.

48 For heavy distillates and a few other products, the base rate is assessed per 1,000 kg dead weight.

49 The mineral oil tax relief for agriculture is provided through reimbursements calculated on a per-hectare basis.

50 Appendix 2 of the Mineral Oil Tax Ordinance (*MinöStV)* of 20 November 1996 (as of 01 January 2025), SR 641.611.

51 Convention on international civil aviation, Chicago of 07 December 1944 (as of 28 November 2024), SR 0.748.0.

52 International aviation is also exempt from the VAT (art. 23(8) of the Value Added Tax Act, (as of 31 March 2025), SR 641.20).

53 FOCBS: Mineral oil tax, accessed 21 May 2025.

54 IEA (2023, pp.125-126).

have to be about 5 to 6 Swiss centimes per kilometre. For heavy vehicles, it would be about 22 Swiss centimes per kilometre.[55]

On 29 June 2022, the Federal Council defined the key parameters for a replacement levy on electric vehicles. A replacement levy could enter into force by 2030 to ensure the financing of transport infrastructure and federal finances. This timeframe considers the time needed to enact the necessary legislation, including public consultations and parliamentary debates in 2025 and 2026.[56] It also accounts for the time needed to set up the technical requirements, including data collection systems to record and transmit the distances travelled by vehicles. The tariff model will be continuously monitored and, if necessary, adjusted according to the characteristics of new vehicles.

Compensation obligation for fuel importers

Switzerland requires fossil fuel importers of petrol, diesel, natural gas and kerosene that exceed the threshold of 1,000 tonnes of CO_2 to offset a proportion of emissions from the transport sector by purchasing carbon credits (articles 86-92 of the CO_2 Ordinance). The proportion of CO_2 emissions from transport to be offset (compensation rate) is defined in article 89 of the CO_2 Ordinance. In 2025, the compensation rate is 25% and it is gradually increased to 50% by 2030.

The Foundation for Climate Protection and Carbon Offset (*KliK*) is responsible for securing credits from mitigation projects in Switzerland and abroad. Under the 2013-2020 CO_2 Act, the Fuel Importers Association could have charged up to 5 Swiss centimes per litre for fuels, but charged less than 1.5 Swiss centimes per litre. Between 2013 and 2021, the proceeds totalled CHF 1.1 billion, which were used to offset 12 million tonnes of CO_2 through domestic and international mitigation projects at an average cost of CHF 90 per tonne of CO_2.[57] Switzerland has concluded bilateral agreements with a dozen countries for voluntary cooperation under article 6.2 of the Paris Agreement.

Performance-related heavy vehicle charge

The performance-related heavy vehicle charge (hereafter HVC) is a federal tax levied based on total weight, emission level and the kilometres driven in Switzerland and the Principality of Liechtenstein. It must be paid for all the vehicles and trailers which have a total weight of more than 3.5 tonnes, are used for the carriage of goods, and drive on Switzerland's public roads network.[58] The HVC is based on the Constitution (article 85) and on the Federal Act on a Performance-related HVC (*SVAG*),[59] as well as an ordinance (*SVAV*) governing its practical implementation.[60]

The HVC ensures that heavy goods traffic covers its infrastructure costs and external costs on society. It also aims to promote a shift in freight transport from road to rail (article 1,

55 Federal Roads Office (FEDRO): Nachhaltige Finanzierung der Verkehrsinfrastruktur, Report to the Federal Council – Concept for replacing mineral oil taxes (replacement levy), 04 July 2022.

56 FEDRO: Bundesrat legt Varianten zur Besteuerung von Elektrofahrzeugen vor, 26 September 2025.

57 IEA (2023, p.36).

58 A list of tax-exempt vehicles licensed in Switzerland and abroad can be found here: HVC – General information and rates, accessed 22 July 2025.

59 Federal Act on a Performance-related HVC *(SVAG)* dated 17 March 2023, AS 2024 131.

60 Federal Ordinance on the HVC *(SVAV)* as of 27 March 2024 (as of 01 January 2025), SR 641.811.

SVAV). Vehicles with higher pollutant emissions (e.g., Euro 0 to 5) are taxed more heavily than cleaner vehicles (e.g., Euro 6). The HVC increased by 5% on 1 January 2025.[61] This is the first adjustment since 2012, accounting for inflation.[62] As of 2025, the HVC is 3.26 Swiss centimes per tonne-kilometre for Euro 0 to 5 vehicles and 2.39 Swiss centimes per tonne-kilometre for Euro 6 vehicles.[63] Electric heavy vehicles are currently exempt from the HVC. In May 2025, the Federal Council proposed that the exemption for electric heavy vehicles should be waived from 2029.[64]

The HVC is levied by the Federal Office for Customs and Border Security. The annual revenue amounts to around CHF 1.8 billion, one-third of which goes to the cantons and two-thirds to the federal government. The federal government uses most of its share of the revenue to finance the rail infrastructure.[65]

A 2015 federal study reports positive outcomes of the HVC, stating that its weight-based tax rates have improved the efficiency of road freight transport and that, alongside fleet renewal, it has contributed to a reduction in emissions. However, no significant shift from road to rail was observed.[66] There were no adverse distributional effects, as efficiency gains helped to offset the costs, which have been only partially passed on to consumers.

Automobile tax

The importation of passenger vehicles and certain light commercial vehicles is subject to a 4% automobile tax, levied on the vehicle's value.[67] This tax, governed by the Federal Automobile Tax Act and administered by the Federal Office for Customs and Border Security, is applied in addition to the standard VAT rate of 8.1%. In 2024, the automobile tax generated revenues of CHF 460 million.[68] These revenues are earmarked for the national roads and agglomeration transport fund.

EVs were exempt from the automobile tax until 31 December 2023. As of 2024, this exemption has been lifted, and EVs are now subject to the standard 4% tax rate. The decision reflects the growing competitiveness and market penetration of EVs, rendering preferential tax treatment no longer necessary.[69]

Motor vehicle tax

Motor vehicle taxes are primarily levied at the cantonal level, meaning each canton is responsible for setting its own tax rates, assessment methods, and exemptions. These taxes apply yearly to passenger cars, motorcycles, and commercial vehicles, including private

61 Federal Office of Transport (FOT): Anpassung der LSVA, 29 November 2023.

62 In accordance with art. 42 of the Land and Transport Agreement with the EU of 21 June 1999 (as of 13 December 2024), 0.740.72, the HVC rates are adjusted based on the inflation rate recorded in Switzerland over the previous two years.

63 FOCBS: HVC – General information and rates, accessed 21 May 2025.

64 FOT: Bundesrat verabschiedet Botschaft zur Weiterentwicklung der LSVA, 28 May 2025.

65 FOT: Heavy goods vehicle charge, accessed 21 May 2025.

66 Krebs and Balmer (2015).

67 Art 13. of the Automotive Tax Act (*AStG*) of 21 June 1996 (as of 01 July 2023), SR 641.51.

68 Steuern Easy: Automobilsteuer, accessed 29 July 2025.

69 Federal Council: Bundesrat beschliesst Aufhebung der Steuerbefreiung auf Elektrofahrzeugen, 08 November 2023.

and business use. The main objectives of these taxes are to generate public revenue and, increasingly, to incentivise the use of environmentally friendly vehicles.

Cantonal motor vehicle taxes are generally based on one or a combination of the following criteria: engine power (in kilowatts or horsepower), vehicle weight (unladen or total weight), vehicle's age, CO_2 emissions, or energy efficiency categories. Several cantons use traditional weight or power-based systems, but have introduced bonus-malus systems, where owners of fuel-efficient vehicles pay lower taxes, and those with high emissions pay more.[70] Other cantons, such as Basel-Stadt and Neuchâtel, directly take CO_2 emissions into account when determining motor vehicle tax.[71]

Revenues from cantonal motor vehicle taxes are typically allocated to transport infrastructure, including road maintenance and public transport funding.

Box 2: Judicial review of climate taxation in Switzerland

Judicial oversight of climate policies in Switzerland is relatively limited. The design and implementation of climate-related taxes fall primarily within the remit of political institutions, namely the Parliament and the Federal Council, including federal acts and ordinances, as well as cantonal implementation. While the Swiss Federal Supreme Court ensures the correct application of laws, it lacks the authority to question the purpose or amount of taxes set by legislation. Administrative courts and the Federal Supreme Court occasionally rule on disputes regarding the application of the CO_2 levy and other climate policy instruments. For example:

- An oil company objected to the Federal Council's increase of the CO_2 levy from CHF 36 to CHF 60 per tonne in 2014. The company argued that the Federal Council lacked legal authority to raise the rate, the increase violated the prohibition on retroactive application, and the CO_2 statistics used to justify the rise were unreliable. On 20 October 2015, the Federal Administrative Court dismissed the appeal (A-3874/2014).[72] The company appealed the decision before the Federal Supreme Court, contesting the statistical accuracy and the possibility of measurement errors. On 15 September 2016, the Federal Supreme Court upheld the Federal Administrative Court's judgment, arguing that there was no evidence of contradictory or arbitrary statistics or of the law being applied unequally (2C.1065/2015).[73]

[70] Touring Club Switzerland: Motorfahrzeugsteuer, accessed 21 May 2025.

[71] Examples of cantonal motor vehicle taxes: Kanton Basel-Stadt and Neuchâtel, accessed 21 May 2025.

[72] Federal Administrative Court: A-3874/2014, 21 October 2015.

[73] Federal Supreme Court: 2C.1065/2015, provided by Servat, University of Bern, 15 September 2016.

- A company that had been granted an exemption from the CO_2 levy for the period 2015-2020, based on a decision by the Federal Office for the Environment dated 23 August 2016, failed to submit its refund request for CHF 162,217.90 within the prescribed deadline. The Federal Customs Administration rejected the late submission on 24 September 2018, ruling that the refund claim was forfeited due to the missed statutory deadline of 30 June, as stipulated in article 98(2-3) of the CO_2 Ordinance. A subsequent request for reinstatement of the deadline, submitted on 15 October 2018 and citing postal delivery failure and the absence of administrative reminders, was also denied. On 7 November 2019, the Federal Administrative Court upheld the rejection, referencing established Federal Supreme Court jurisprudence (2C_923/2014 of 22 April 2016), which confirmed that such deadlines constitute forfeiture periods and cannot be waived on grounds of procedural formalities (case A-988/2019).[74]
- A major vehicle importer contested a CHF 4.2 million CO_2 penalty for exceeding emission thresholds in accordance with the compensation obligation for fuel importers. The Federal Office of Energy calculated emissions using fleet data, imposing a large surcharge. The Federal Administrative Court and then the Federal Supreme Court dismissed appeals, confirming that the data and calculations were legally sound, and importers can operate private CO_2 exchanges under the scheme (2C_58/2023).[75]
- Internationally, the recent case of *KlimaSeniorinnen v. Switzerland* attracted significant global attention. In a landmark ruling, on 9 April 2024, the European Court of Human Rights held for the first time that insufficient climate action can constitute a violation of human rights (53600/20). Although the immediate domestic impact of this judgment in Switzerland has so far been limited, it sets an important legal precedent for climate accountability in Europe.[76]

II.B. Interaction of carbon tax or other environmental or energy taxes with income tax

Switzerland does not have a specialised income tax regime for carbon pricing mechanisms. Companies and individuals are subject to standard rules of taxation concerning expenses and income related to the CO_2 levy, emission allowances, and carbon credits.[77] As of 2025, emission allowances are not classified as financial instruments under Swiss financial market law.

74 Federal Supreme Court: 2C_923/2014, 22 April 2016; Federal Administrative Court: A-988/2019, 07 November 2019.

75 Federal Supreme Court: 2C_58/2023, 22 February 2024; SWI swissinfo: Swiss car importer ordered to pay CHF4.2 million CO2 penalty, 24 <ay 2024.

76 European Court of Human Rights: 53600/20, 09 April 2024.

77 Swiss Capital Markets Law: Transactions on carbon rights in Switzerland: Legislative landscape and perspectives, 05 October 2022.

II.C. Other specific climate or energy taxes

Nuclear decommissioning and waste disposal funds

The disposal of radioactive waste from Switzerland's four active nuclear power plants is based on the "polluter pays" principle. Operators of nuclear power plants are responsible for the disposal of spent fuel elements and radioactive waste resulting from the operation of their plants, as well as from the later decommissioning and break-up of these facilities.[78]

The financing of the disposal of nuclear waste is regulated in the Swiss Federal Nuclear Energy Act. The Ordinance on the Decommissioning Fund and the Waste Disposal Fund for Nuclear Installations regulate the details.[79] To ensure that the necessary funds are available for the decommissioning and disposal of spent fuel elements, nuclear power plant operators pay annual contributions into two independent funds: the decommissioning fund and the waste disposal fund. These two funds are legally independent and operate under the name *STENFO*.[80]

Public subsidies for renewables

Federal and cantonal programmes, such as the buildings programme and federal *Impulsprogramm*, support renewable energy and efficiency initiatives.[81] Costs of energy-saving and environmental measures on owner-occupied homes are also tax-deductible.[82] Moreover, many cantons and municipalities subsidise EVs and charging infrastructure,[83] while the federal government offers one-time investment grants for solar PV installations.[84] Additional support measures are provided under the Energy Act.[85] Cantons also levy taxes on waste disposal, sewage, and other minor energy taxes.

Indirect incentives further promote renewables by reducing financial and regulatory barriers. Federal and cantonal tax systems allow deductions for environmental investments, accelerated depreciation, and deductible dismantling costs (e.g., article 28 *DBG*, and Basel-Stadt, Bern, Grisons, Zurich).[86,87] Energy-intensive firms and renewable energy producers benefit from reduced grid surcharges and can sell surplus electricity at guaranteed rates.[88]

78 SFOE: Decommissioning and waste disposal funds, accessed 28 July 2025.

79 Nuclear Energy Act (*NEA*) of 21 March 2003 (as of 01 April 2025), SR 732.1; Ordinance on the Decommissioning Fund and the Waste Disposal Fund for Nuclear Installations (*SEFV*) of 07 December 2007 (as of 07 November 2024), SR 732.17.

80 STENFO: Stilllegungs- & Entsorgungsfond für Schweizer KKW, accessed 12 August 2025.

81 Das Gebäudeprogramm von Bund und Kantonen: Grundlagen und Finanzierung, accessed 28 May 2025.

82 Art. 32 *DBG*. On 28 September 2025, the reform of residential property taxation was approved by popular vote (58% approval). The reform is expected to enter into force in 2028, after which the deduction for energy-saving and environmentally friendly measures will no longer apply to direct federal tax (new art. 9(3) DBG). However, the cantons may continue to permit such deductions under their own tax legislation.

83 AMPECO: Incentives for EV charging infrastructure, accessed 28 May 2025.

84 SFOE: Promotion of photovoltaic systems, accessed 28 May 2025.

85 Federal Tax Administration (FTA): Umweltbezogene Abgaben, D Einzelne Steuern, Steuerinformationen herausgegeben von der Schweizer Steuerkonferenz SKK, status of legislation on 01 January 2023; Arts. 19, 25-27b, 30, 32, 34, 73 of the Energy Act.

86 Bucher Tax: Investing in environmental protection pays off, accessed 14 July 2025

87 PwC: Switzerland - Corporate - Deductions, accessed 14 July 2025

88 SFOE: Reimbursement of grid surcharge, accessed 14 July 2025.

Implicit fossil fuel subsidies

Although Switzerland does not offer explicit or direct subsidies for the production or consumption of fossil fuels, it does provide implicit subsidies through various tax exemptions, reduced rates, and reimbursements that effectively lower the cost of fossil fuel use. An example of this is outlined above for the agricultural sector, which benefits from rate reductions of the mineral oil tax through compensation payments.[89] According to a study by the International Monetary Fund, between 2015 and 2023, these implicit subsidies in Switzerland range between USD 2.7 and 4.6 billion per year.[90]

III. International tax aspects

Taxation of international corporations

Resident companies in Switzerland are subject to corporate income tax on their worldwide income, excluding income derived from foreign real estate and income attributable to permanent establishments located abroad.[91]

Switzerland follows a source-based taxation model for non-residents, i.e. foreign investors who are not tax resident in Switzerland are only liable for tax on Swiss-sourced income. This includes profits derived from business activities carried out through a permanent establishment in Switzerland and income from real estate located in Switzerland.[92] Profits or capital gains are subject to corporate income taxes and cantonal real estate capital gains taxes.[93] If foreign investments do not include permanent establishments, only Swiss-sourced passive income is subject to a 35% withholding tax (e.g. dividends, certain interests and real estate income).[94] This rate may be reduced or eliminated under an applicable double taxation agreement.[95] As of 2025, Switzerland has double taxation agreements with over 100 countries.[96] Generally, Switzerland's bilateral tax treaties are based on the OECD Model Tax Convention (articles 6 and 13). Switzerland also follows the OECD transfer pricing guidelines.[97]

89 Sieber-Gasser, Bürgi Bonanomi, and Koch (2025).

90 Black et al. (2023). Country-level data available at https://www.imf.org/-/media/Files/Topics/energy-subsidies/EXTERNALfuelsubsidiestemplate2023new.ashx, accessed 26 June 2025.

91 Arts. 50, 52 *DBG*

92 Art. 51 *DBG*. This article reflects Switzerland's extensive tax treaty network under the OECD Model Tax Convention on Income and on Capital, 18 December 2017, in particular under art. 6 (Income from immovable property), art. 7 (Business profits) and art. 13 (Capital gains).

93 FTA: Besteuerung der Grundstückgewinne, D Einzelne Steuern, Steuerinformationen herausgegeben von der Schweizer Steuerkonferenz SKK, status of legislation on 01 February 2024.

94 Art. 4 of the Federal Act on Withholding Tax *(VStG)* of 13 October 1965 (as of 01 January 2025), SR 642.21.

95 Lindemann Law: Swiss Withholding Tax, 16 April 2025.

96 State Secretariat for International Finance: Double taxation agreements, 02 December 2024

97 FTA: Transfer pricing, accessed 12 June 2025.

Taxation of investments in energy infrastructure

While domestic and foreign investors often use similar legal entities, foreign investors prefer Swiss-resident special purpose vehicles (*AG* or *GmbH*) to ensure access to treaty benefits, clear asset ownership as well as limited liability and regulatory certainty.[98]

Domestic or foreign investments in renewable energy infrastructure (e.g. solar and wind farms, grid infrastructure, or hydrogen networks) are not granted any special tax treatment, but are subject to the general taxation rules, except for possible cantonal incentives (e.g. tax deductions and accelerated depreciation, among others). Renewable energy assets such as solar panels or wind turbines are typically considered integral parts of immovable property if they are permanently installed and attached to land.[99] This means income from operating such assets, and gains from their sale, may be treated as income or gains from immovable property. However, for depreciation and corporate income tax purposes, these assets are classified as equipment or fixed assets (movable business assets) on the tax balance sheet and depreciated accordingly.[100]

Switzerland does not have international tax rules specifically targeting outbound investment in renewable energy projects. However, as of 1 January 2024, Switzerland has introduced mandatory climate-related financial disclosures for large companies, aligned with the Task Force on Climate-related Financial Disclosures (TCFD).[101] Moreover, the Federal Council is pursuing a framework that enables the Swiss financial sector to make an effective contribution to achieving climate and sustainability goals, especially through transparency, pricing of environmental impacts, including voluntary alignment with the Paris Agreement.[102]

98 Swiss Company Formation: AG Registration, last update: 16 May 2025; GmbH Registration, last update 30 June 2025.

99 Swiss property law, as codified in the Swiss civil code (*ZGB*) of 10 December 1907 (as of 01 January 2025), 210, distinguishes between immovable property (real estate) and movable property (personal property). In principle, the right of accession (*Akzessionsprinzip*) applies pursuant to art. 667(2), whereby all structures permanently erected on land are deemed integral parts of the immovable property. However, according to art. 677, structures or installations that are placed on land without the intention of permanent attachment are classified as movable property and are therefore not subject to the principle of accession (Besteuerung von PV-Anlagen auf Dächern, 01 February 2017). For example, the Federal Supreme Court endorsed a decision made by the Bern Administrative Court that roof-mounted PV panels, which are mechanically, but not integrally, fixed to the roof, are movable and not considered to be part of the building itself (5C_510/2017 and 5C_511/2017).

100 FTA: Merkblatt A/1995 – Abschreibungen auf dem Anlagevermögen geschäftlicher Betriebe, 10 October 2023, based on art. 27, 28 and 62 *DBG*.

101 Ordinance on Reporting on Climate-Related Matters of 23 November 2022, BBl 2020 9413; Pestalozzi Attorneys at Law: New Swiss Non-Financial Reporting Obligations apply as of Business Year 2023, 18 January 2023.

102 Federal Council (2022).

Box 3: Sustainability reporting obligations

- Switzerland is not yet adopting the European Sustainability Reporting Standards (ESRS) or the International Financial Reporting Standards (IFRS) S1 and S2, but it is preparing legal amendments that would enable (or require) large Swiss companies to report under internationally recognised frameworks.[103] The public consultation process closed in early 2025, and the Federal Council intends to decide on amendments during 2025, with implementation expected in 2026 and full effect by around 2028.
- Since 2023, large public companies, banks, and insurance companies are required to publish annual non-financial reports in accordance with the Swiss Code of Obligations (article 964).[104] These reports cover environmental matters, social and employee-related aspects, similar in scope to the EU's Non-Financial Reporting Directive (NFRD).
- From a taxation perspective, these sustainability reporting requirements are primarily of a reporting nature and do not directly impact tax liabilities. The Swiss tax system does not formally integrate ESG metrics or sustainability indicators into the determination of tax bases or rates. Nonetheless, indirect effects can arise as companies may need to adapt their corporate governance and internal controls to comply with transparency requirements, potentially affecting the deductibility of certain expenses or the eligibility for specific tax incentives.

IV. Direction for reform and other matters

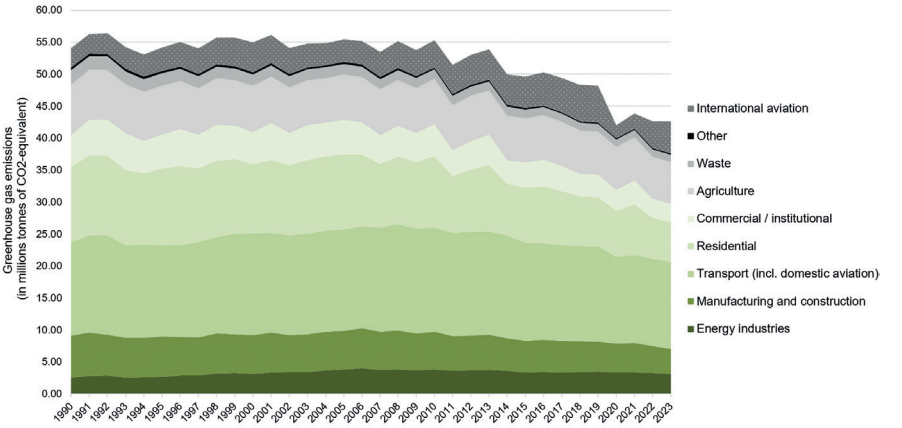
Nationally Determined Contributions

Figure 5 shows that between 1990-2023 Switzerland reduced its greenhouse gas emissions by 26%. This figure is likely to be higher when accounting for carbon offsets and compensation projects abroad, i.e. reductions in *net* emissions, but no aggregate data are currently available.

[103] Homburger: Swiss Corporate Sustainability Reporting, 27 June 2024; IFRS: Jurisdictional snapshot - Switzerland, 12 June 2025.

[104] Art. 964a-c *OR*.

Figure 5: *Greenhouse gas emissions in Switzerland between 1990-2023*



Source: Author's calculations based on data from the Federal Office for the Environment: Switzerland's greenhouse gas inventory, accessed 28 July 2025

In its first Nationally Determined Contributions (NDC) under the Paris Agreement, Switzerland committed to reducing its net greenhouse gas emissions by 50% by 2030 compared to 1990 levels.[105] At least two-thirds of these reductions must be achieved domestically, while the remaining reductions can be realised through international cooperation under article 6 of the Paris Agreement, allowing Switzerland to finance emission reductions abroad (article 2a of the CO_2 Ordinance).

In its second NDC under the Paris Agreement 2031-2035, Switzerland aims to reduce its net greenhouse gas emissions across all sectors by at least 65% in 2035 compared to 1990 levels.[106] The legal framework to reach the 2035 target, as well as targets for 2040, 2050 and sectoral targets, are enshrined in the CO_2 Act and the Climate and Innovation Act.

CO_2 Act

The CO_2 Act is at the core of Switzerland's climate legislation. It was first enacted on 1 May 2000 and has been updated, amended and extended several times. On 1 January 2013, a revised CO_2 Act entered into force to cover the period from 2013 to 2020, equivalent to the second commitment period of the Kyoto Protocol. The scope of the 2013-2020 CO_2 Act was broadened to include all greenhouse gas emissions and carbon sinks from forestry and harvested wood products, and introduced new measures for reducing emissions from heating and transport fuels. In the third quarter of 2020, parliament adopted a revised CO_2 Act to cover the period from 2021 to 2030, including new instruments to help Switzerland meet its 2030 target under the Paris Agreement. In June 2021, however, a referendum rejected the 2021-2030 CO_2 Act. To avoid a legislative gap, in December 2021, parliament

105 United Nations Framework Convention on Climate Change (UNFCCC): Switzerland's first NDC under the Paris Agreement (2021-2030), Update of 13 November 2024.

106 UNFCCC: Switzerland's second nationally determined contribution under the Paris Agreement 2031–2035, January 2025.

voted to extend the 2013-2020 CO_2 Act until the end of 2024, in anticipation that a new revision could enter into force from 2025.

The revised CO_2 Act for the period 2025-2030 entered into force on 1 January 2025. The revised CO_2 Act did not increase the CO_2 levy, which remains at CHF 120 per tonne of CO_2. Under the new legislation, all companies have the possibility of exemption from the levy if they commit to binding emission reduction targets, submit annual progress reports, and prepare and update a decarbonisation plan every three years (article 31 and 31a). The ETS remains linked and harmonised with the EU-ETS. Moreover, from 2026, aviation fuel suppliers will be required to blend a specified share of sustainable aviation fuel into their total fuel supply (article 28f).

Since 2012, Switzerland has coordinated CO_2 emissions regulations for new passenger cars and light duty vehicles with EU regulations. As of 1 January 2025, the average level of emissions of newly registered passenger cars and light commercial vehicles cannot exceed 93.6 g CO_2/km and 153.9 g CO_2/km, respectively. These target values have been tightened compared to previous years. According to the revised CO_2 Act, from 2030 the target values will be reduced to 49.5 g CO_2/km for passenger cars and 90.6 g CO_2/km for light commercial vehicles (article 10).[107] Plans to subsidise electric vehicle charging infrastructure at the federal level were rejected, leaving expansion to the private sector and cantons. However, calls for guidelines on access to charging stations in residential buildings are currently under debate.[108]

Climate and Innovation Act

The Climate and Innovation Act was approved by a popular vote on 18 June 2023 (59% approval).[109] It has been in force since 1 January 2025.[110]

The Climate and Innovation Act sets the framework for Switzerland's forward-looking climate targets. It includes interim targets for reducing greenhouse gas emissions in key sectors, including buildings, transport, and industry, and a legally binding net-zero emissions target by 2050 (articles 3 and 4). The federal government and the cantons are expected to lead by example and aim to reach net zero by 2040 (article 10). After 2050, the Climate and Innovation Act will also be enforcing net-negative emissions (article 3).

The Climate and Innovation Act includes two temporary federal support instruments. These will provide funding for the replacement of fossil fuel heating systems of households with climate-friendly alternatives (annually CHF 200 million until 2034) and for companies that implement innovative, climate-friendly technologies (article 6; annually max. CHF 200 million until 2030). The first support measure, also referred to as the *Impulsprogramm*, supplements the existing buildings programme.[111]

107 SFOE: CO2 emission regulations for new vehicles, accessed 05 June 2025.

108 Swiss Parliament: Räte fordern Vorgaben für Zugang zu Ladestationen in Wohnhäusern, 11 June 2025.

109 The Climate and Innovation Act served as a counterproposal to the glacier initiative rejected in 2019, which aspired to include the goals of the Paris Agreement in the Swiss Constitution.

110 Climate and Innovation Act *(KIG)* of 30 September 2022, BBI 2022 2403.

111 Climate and Innovation Act, appendix: The Energy Act of 30 September 2016, is amended as follows: Insertion of art. 50a before the heading of Section 2, art. 50a *Impulsprogramm für den Ersatz von Wärmeerzeugungsanlagen und Massnahmen im Bereich der Energieeffizienz.*

In accordance with the Kyoto Protocol (article 6)[112] and the Paris Agreement (article 6),[113] the federal government shall ensure the achievement of climate targets by minimising greenhouse gas emissions and offsetting any remaining emissions using negative emission technologies (NET), both within Switzerland and abroad.

Carbon capture and storage (CCS) and NET will be necessary to reach the domestic climate goals, but these technologies must be applied only for mitigation or compensation of hard-to-abate emissions. According to the Energy Perspectives 2050+, approximately 12 million tonnes of CO_2-equivalent emissions are expected to require storage annually by 2050.[114] However, the federal government is currently legally limited in the development of CO_2 transport and storage infrastructure within Switzerland, because surface and subsurface territorial planning is the competence of the cantons. The Federal Council has been mandated by Parliament to draft framework legislation on CCS for the climate policy after 2030, including harmonised rules for CO_2 pipeline and underground storage, financing arrangements, and a standardised approval process.[115] Switzerland recently signed two agreements to export and permanently store CO_2 in Norway and Denmark.[116]

The upscaling of CCS and NET will take place in two phases: a "pioneering phase" up to 2030 and a "targeted scaling phase" up to 2050.[117] The pioneering phase can be implemented by developing the current legal framework. However, the subsequent scaling phase beyond 2030 will require further-reaching preparations. A comprehensive CO_2 transport and storage infrastructure needs to be developed. Various aspects also need to be clarified, including the respective roles of the federal government, the cantons, and the private sector in developing this infrastructure, as well as financing mechanisms that should adhere as closely as possible to the "polluter pays" principle.

Climate funds

Switzerland employs a combination of domestic and international climate financing mechanisms. Domestically, the federal government has established a technology fund to support innovative technologies that contribute to reducing greenhouse gas emissions, lowering resource consumption, promoting renewable energy, and enhancing energy efficiency. The fund provides loan guarantees to help innovative small and medium-sized companies access financing, thereby reducing financial barriers to scaling up climate-friendly solutions. To cover potential losses from these guarantees, up to CHF 25 million per year from CO_2 levy revenues is allocated to the technology fund.[118] Further domestic budgetary measures have already been highlighted in the previous sections, including the *Impulsprogramm* of the Climate and Innovation Act and subsidies for renewable electricity production.

[112] United Nations (UN): Kyoto Protocol to the United Nations Framework Convention on Climate Change. United Nations Treaty Series, 11 December 1997, Article 6, 2303 U.N.T.S. 162.

[113] UN: Paris Agreement to the United Nations Framework Convention on Climate Change, 12 December 2015, Article 6, T.I.A.S. No. 16-1104.

[114] Federal Office of Energy (2022).

[115] Swiss Parliament: Nationale Regelung zu Abscheidung, Transport und Speicherung von CO_2, motion 24.4256, 11 October 2024.

[116] FOEN: Switzerland signs agreements with Denmark on carbon storage, 03 September 2025.

[117] FOEN: CO2 capture, removal and storage, accessed 05 June 2025.

[118] FOEN: Technology fund, accessed 21 July 2025.

Internationally, Switzerland pledged CHF 135 million between 2024-2027 to the UN's Green Climate Fund,[119] and engaged in further bilateral and multilateral contributions, totalling CHF 711 million in 2022.[120]

Climate policy after 2030

As noted above, the Climate and Innovation Act provides the framework for Switzerland's climate targets, while the post-2030 strategy remains under political debate. On 12 September 2025, the Federal Council proposed introducing a new ETS for thermal and motor fuels, similar to the EU-ETS2, to replace the CO_2 levy and the compensation obligation for fuel importers. A regulatory impact assessment is underway, and the Department of the Environment, Transportation, Energy and Communication has been tasked with presenting a draft of the revised CO_2 Act by September 2026.[121]

Fiscal Sustainability Report

The 2024 Fiscal Sustainability Report analyses the long-term fiscal impacts of Switzerland's energy transition toward achieving net-zero greenhouse gas emissions by 2050.[122] The report explores a range of policy scenarios in which carbon pricing, regulation, and subsidies are progressively intensified to meet the net-zero target. The results show that the energy transition will likely exert increasing pressure on public finances. Receipts from fuel taxes (e.g. mineral oil tax) will decline, and revenue growth from taxes on natural persons and legal entities, as well as VAT, will slow. In the medium to long term, revenues from the CO_2 levy will also decline as the energy transition advances and the use of fossil fuels such as heating oil decreases. By 2060, the public debt-to-GDP ratio could rise by 8 to 15 percentage points compared to a business-as-usual scenario. The projections highlight the need for new revenue sources, including replacement levies on EVs and broader environmental taxation, to secure fiscal sustainability and meet climate targets.

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[120] UNFCCC: Switzerland's second NDC under the Paris Agreement 2031–2035, January 2025.

[121] FOEN: Klimapolitik nach 2030, 12 September 2025

[122] Federal Department of Finance (2024). Art. 5 of the Ordinance on the Federal Budget *(FHV)* of 05 April 2006 (as of 01 May 2025), SR 611.01, tasks the FFA with developing long-term fiscal scenarios in selected policy areas.

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